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$X_i \stackrel{\text{iid}}{\sim} \text{Gamma}(\theta, k), k$ is known

I'm assuming this is for an $H_0 : \theta = \theta_0, H_1 : \theta \neq \theta_0$ test.

(a) Find asymptotic level $1 - \alpha$ confidence interval for θ by inverting acceptance region of an asymptotic size α LRT

$$L(\theta|x, k) = \prod \frac{k^\theta}{\Gamma(\theta)} x^{\theta-1} e^{-kx} = \frac{k^{n\theta}}{\Gamma(\theta)^n} x^{n\theta-n} e^{-k \sum x}$$

Under null, $\hat{\theta}_R = \theta_0$

$$\text{LRT: } \lambda(x) = \frac{L(\hat{\theta}_R|x, k)}{L(\theta|x, k)} =$$

What is $\hat{\theta}$??? No closed form for the MLE for θ .

On this part we can develop an acceptance region and inverted test by just assuming we know the MLE of θ . However, to actually find an interval we would need to examine the LRT to see how it behaves

(b)

$$\mathbb{E}[X] = \alpha\theta. \quad M_1 = \bar{X}$$

$$\theta_{MoM} : \alpha\theta = \bar{X} \implies \theta_{MoM} = \frac{\bar{x}}{k}$$

According to CLT, $\sqrt{n}(\bar{X} - k\theta) \sim N(0, \theta k^2)$.

$$\implies \text{by Cont. Map. Theorem: } \sqrt{n}(\hat{\theta} - \theta) \xrightarrow{D} N(0, \theta)$$

Variance is θ

(c)

$$\text{We need } g'(\theta)^2 = \frac{1}{\theta} \implies g'(\theta) = \sqrt{\frac{1}{\theta}}. \text{ Thus, } g(\theta) = 2\sqrt{\theta}$$

(d)

$$[g^{-1}(g(\hat{\theta}) - \frac{1}{\sqrt{n}} Z_{1-\alpha/2}), g^{-1}(g(\hat{\theta}) + \frac{1}{\sqrt{n}} Z_{1-\alpha/2})]$$

$$P(-Z_{\alpha/2} < \sqrt{n}(2\sqrt{\hat{\theta}} - 2\sqrt{\theta}) < Z_{\alpha/2}) \approx 1 - \alpha$$

$$P(\frac{-Z_{\alpha/2}}{2\sqrt{n}} \leq \sqrt{\hat{\theta}} - \sqrt{\theta} \leq \frac{Z_{\alpha/2}}{2\sqrt{n}})$$

$$(\sqrt{\hat{\theta}} - \frac{Z_{\alpha/2}}{2\sqrt{n}})^2 \leq \theta \leq (\sqrt{\hat{\theta}} + \frac{Z_{\alpha/2}}{2\sqrt{n}})^2$$

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$$f(x|k, \theta) = \frac{\theta k^\theta}{x^{\theta+1}} = \theta \left(\frac{k}{x}\right)^\theta \frac{1}{x}$$

$$L(k, \theta|x) = \prod \frac{\theta k^\theta}{x^{\theta+1}} = \frac{\theta^n k^{n\theta}}{\prod x^{\theta+1}}$$

(a) θ is known, $H_0 : k = 1, H_1 : k = 2$. Find most powerful size α test.

We can ignore the case when $x < 1$ because under both hypothesis this is not possible.

$$\text{LRT: } \frac{L(k=1|x, \theta)}{L(k=2|x, \theta)} = \frac{\frac{\theta^n 1^{n\theta}}{\prod x^{\theta+1}} I(x>2)}{\frac{\theta^n 2^{n\theta}}{\prod x^{\theta+1}} I(x>1)} = (\frac{1}{2})^{n\theta} I(X_{(1)} \geq 2)$$

$$\lambda(x) = \begin{cases} 0, & X_{(1)} \leq 2 \\ (\frac{1}{2})^{n\theta}, & X_{(1)} > 2 \end{cases}$$

$$\phi(x) = \begin{cases} 1, & \lambda(x) > k \\ \gamma, & \lambda(x) = k \\ 0, & \lambda(x) < k \end{cases}$$

$$\alpha = P(\lambda(x) > k) + \gamma P(\lambda(x) = k)$$

$P(\lambda(x) > k) = P(X_{(1)} > 2)$. We go from the test function to the LRT. LRT can only be greater than some k when the LRT provides a value, which only happens when the min is greater than 2.

If we pick $k = 0$, the second term is also active. If $k = 2^{n\theta}$ then only the second term is active.

$$P(X_{(1)} > 2) = P(x_1 > 2)^n = [\int_2^\infty \theta x^{-\theta-1} dx]^n = [-x^{-\theta}|_2^\infty]^n = 2^{-n\theta}$$

We cannot get a set α test using this specific test, so we will need the γ term meaning we must let k be one of the boundary values.

(b) k is known. $H_0 : \theta \leq \theta_0, H_1 : \theta > \theta_0$

Need UMP size α test.

Check for MLR: $T = \sum \ln(\frac{X_i}{k})$

$\theta_2 > \theta_1 : \frac{L(\theta_2)}{L(\theta_1)} = (\frac{\theta_2}{\theta_1})^n e^{-T(\theta_2 - \theta_1)}$. This is monotonically decreasing in θ_2 .

Karlin-Rubin: $\phi(x) = \begin{cases} 1, & T < c \\ 0, & T > c \end{cases}$. Choose c such that $P_{\theta_0}(T < c) = \alpha$.

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$$f(x|\lambda) = \frac{2x}{\lambda^2} e^{-\frac{x^2}{\lambda^2}}; x, \lambda > 0$$

$$L(\lambda|x) = \prod 2x \frac{1}{\lambda^{2n}} e^{-\frac{1}{\lambda^2} \sum x^2}$$

(a) $T = \sum X_i^2$. Show it's complete and sufficient.

$f(x|\lambda) = [\prod 2x] [\frac{1}{\lambda^{2n}} e^{-\frac{1}{\lambda^2} T}] = h(x)g(T, \lambda)$ thus by factorization theorem this is sufficient. Because k is known, this is actually part of the exponential family (also can be shown by writing it as $h(x)c(\lambda)e^{w(\lambda)t(x)}$). Because this is part of the exponential family, and the support contains an open set, this is a complete statistic as well.

Still not too sure how to do pivots. This is a scale family, so the pivot would be something like λx , but I'm not sure if that's correct or how to proceed.

$$T(X) = \sum x^2 : Y = X^2 \implies Y \sim \text{Exp}(\lambda^2) \implies \sum x^2 \sim \text{Gamma}(n1/\lambda^2)$$

Scale family, need to adjust by a multiple of λ^2 .

$$Q = \frac{\sum X^2}{\lambda^2} \sim \text{Gamma}(n, 1)$$

$$P(a \leq Q \leq b) = 1 - \alpha$$

$$P(\sqrt{\frac{\sum X^2}{b}} \leq \lambda \leq \sqrt{\frac{\sum X^2}{a}})$$

Those two equations give us our system to solve and allow us to find the minimum width (Lagrangians)

$$(b) H_0 : \lambda = \lambda_0, H_1 : \lambda \neq \lambda_0$$

$$l(\lambda|x) = \sum \ln(2x) - 2n\ln(\lambda) - \frac{\sum x^2}{\lambda^2}$$

$$\frac{\partial l}{\partial \lambda} = -\frac{2n}{\lambda} + \frac{2\sum x^2}{\lambda^3} = 0 \implies 2n\lambda^2 = 2\sum x^2 \implies \hat{\lambda} = \sqrt{\frac{\sum x^2}{n}} = \sqrt{\frac{T}{n}}$$

$$\text{LRT: } \frac{L(\lambda_0|x)}{L(\hat{\lambda}|x)} = \frac{\prod 2x \frac{1}{\lambda_0^{2n}} e^{-\frac{1}{\lambda_0^2} \sum x^2}}{\prod 2x \frac{1}{\sqrt{T/n}^{2n}} e^{-\frac{1}{\sqrt{T/n}^2} \sum x^2}} = \left(\frac{\sqrt{T/n}}{\lambda_0}\right)^{2n} e^{\sum x^2 \left(\frac{n}{T} - \frac{1}{\lambda_0^2}\right)}$$

This is monotonically increasing in T , thus the rejection region of $a \leq \lambda(x) \leq b$ is equivalent to saying $a^* \leq T(x) \leq b^*$